MGT 202: SMALL BUSINESS MANAGEMENT

TOPIC 7 - Feasibility Analysis (Student Notes)

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A feasibility analysis helps an entrepreneur decide whether a proposed business deserves further development. These notes explain the concepts in the six learning objectives and show how to apply them to a business idea. Read the explanations, work through the financial calculations, and use the questions at the end to check your understanding.

The core terminology follows Barringer and Ireland's Chapter 3 framework. Pearson lists the seventh edition of *Entrepreneurship: Successfully Launching New Ventures*, published in 2024 with a 2025 copyright. The publicly available sixth edition contents and teaching material confirm the framework used here. a reproduction of the textbook. [1–3]

All business examples, customer responses, prices and forecasts in these notes are fictional teaching material. P denotes Botswana pula. They illustrate reasoning and calculations and are not verified Botswana market statistics or quotations.

TOPIC 7 - LEARNING OBJECTIVES

After studying this chapter, students should be able to:

- Explain feasibility analysis and why entrepreneurs undertake it.
- Describe product or service feasibility, its purpose, and its two primary issues: desirability and demand.
- Describe industry and target market feasibility, its purpose, and its two primary issues: industry attractiveness and target market attractiveness.
- Explain organizational feasibility, its purpose, and its two primary issues: management prowess and resource sufficiency.
- Describe financial feasibility and evaluate start-up cash requirements, the financial performance of similar businesses, and overall financial attractiveness.
- Explain a feasibility analysis template and identify when entrepreneurs should use it.

The framework at a glance

Area	Main issues	Decision question
Product or service	Desirability and demand	Does the offering solve a valued problem and attract sufficient paying customers?
Industry and target market	Industry attractiveness and target market attractiveness	Is the business environment favourable and is the chosen customer segment worth serving?
Organizational	Management prowess and resource sufficiency	Can the founder or team obtain and coordinate the capabilities needed to deliver?
Financial	Start-up cash, comparable businesses and overall financial attractiveness	Can the venture obtain the cash it needs and produce acceptable results?

The four areas are connected. Strong customer interest cannot compensate for a service that cannot be delivered. A capable team cannot sustain a business whose price fails to cover its costs. The final recommendation must consider the evidence across all four areas. [2, 3]

1. Meaning and importance of feasibility analysis

What feasibility analysis means

Feasibility analysis is a preliminary investigation of whether a business idea is practical and potentially viable. It examines the conditions under which the venture could work, identifies important uncertainties, and helps the entrepreneur decide what to do next. An idea becomes a stronger business opportunity when research indicates that customers value it, the target market can support it, the team can deliver it, and the finances are credible.

For example, a student may propose a laundry collection service because other students find washing and transport inconvenient. That observation is a starting point. The entrepreneur still needs to establish whether students experience the problem often enough, whether they will pay, whether a laundry partner can meet the promised turnaround, and whether the price covers the costs of collection and washing.

Feasibility is conditional. A venture might work in a limited collection area at one price but fail when it serves customers spread across Gaborone at the same price. A sound analysis therefore describes the proposed version of the business precisely, including its customers, location, offering, price and delivery method.

When to conduct the analysis

Conduct feasibility analysis early, after identifying an idea and before substantial commitments such as purchasing specialised equipment, signing a long lease or hiring a full team. Some

inexpensive investigation is needed before an entrepreneur can judge the idea. The purpose is to make that investigation deliberate and proportionate to the decision being considered.

Research and testing continue as the concept develops. A new supplier quotation, an unexpected competitor response or a change in the target customer may require the entrepreneur to reassess feasibility. The process can therefore involve several rounds of research, revision and testing.

Why it is important

First, feasibility analysis tests assumptions. An entrepreneur may believe that customers want convenience, yet discover that reliability matters more than speed, or that the proposed price exceeds customers' budgets. Finding this early allows the offering to change before major expenditure.

Second, it identifies resource gaps. A promising opportunity may depend on transport, a suitable facility, technical knowledge or a partner that the founder cannot yet access. Recognising the gap makes it possible to recruit, train, partner or redesign the business.

Third, it improves the use of money and time. Research may show that a smaller pilot is appropriate, that a business should begin with rented equipment, or that an idea should be discontinued. Choosing to stop an unsuitable idea can be a sensible entrepreneurial decision.

Fourth, it improves later planning. Evidence about customer behaviour, competitor prices, supplier terms and delivery capacity provides a stronger basis for a business model, marketing plan, operating plan and financial projections. It also helps a founder explain the proposal to potential partners and funders.

Feasibility analysis reduces uncertainty; it does not guarantee success. Research can be incomplete, customer behaviour can change, and execution can fall short. A favourable conclusion should state the evidence, its limitations and any conditions that still need to be satisfied.

Feasibility analysis and related documents

Document or activity	Main purpose	Typical output
Feasibility analysis	Assess whether and under what conditions to pursue an idea	Evidence, uncertainties and a recommendation
Business model	Explain how the venture creates, delivers and captures value	Customers, value proposition, activities, resources and revenue logic
Business plan	Set out how the venture will operate, compete and develop	Integrated plans and financial projections

A business plan can include feasibility evidence, but writing a convincing plan does not establish that its assumptions are true. The entrepreneur needs research and testing to support those assumptions.

How to conduct a useful investigation

1. Define the proposed business and intended customers.

2. List the assumptions that must be true for the venture to work.

3. Identify assumptions that would seriously undermine the venture if false.

4. Select appropriate research methods and obtain evidence.

5. Interpret the findings, including contradictory evidence and limitations.

6. Recommend proceeding to further development, revising and retesting, or discontinuing the idea.

Record the difference between a fact, an assumption and a forecast. A dated supplier quotation is evidence of an offered price, although its terms may expire. A claim that customers will purchase weekly is an assumption until investigated. A monthly sales estimate is a forecast constructed from assumptions and evidence.

2. Product or service feasibility analysis

Meaning and purpose

Product or service feasibility evaluates the proposed offering from the customer's perspective. Its purpose is to establish whether the benefits are appealing and whether there is a credible basis for sufficient demand. A product is a tangible good, such as a packaged snack. A service is an activity or benefit, such as laundry collection. Many ventures combine goods and services.

The two primary issues are **product or service desirability** and **product or service demand**. Desirability concerns the appeal and usefulness of the offering. Demand concerns the willingness and ability of customers to purchase it under specified conditions. Keep these issues distinct when answering examination questions. [2, 3]

Product or service desirability

Desirability asks whether intended customers recognise a worthwhile benefit. Begin by understanding the customer's problem, current solution and dissatisfaction. Consider how serious the problem is, how often it occurs and what improvement the proposed offering provides.

An offering can create value by reducing cost, saving time, improving reliability, increasing convenience, improving quality or making an otherwise difficult activity possible. A feature matters when it produces a benefit the customer values. WhatsApp ordering is a feature; being able to arrange collection without travelling to a shop is a possible benefit.

For the laundry service, relevant desirability questions include whether customers need collection, whether they trust someone else with their garments, and whether a 48-hour turnaround fits their routines. The entrepreneur should also identify weaknesses that could undermine the concept, such as unclear responsibility for lost garments or collection times that customers cannot attend.

Timing matters. A useful idea may receive little interest if introduced during a period when the intended customers are absent or have different priorities. Customer needs should be investigated in the setting in which the venture will operate.

Concept statements and concept tests

A concept statement is a short description of the proposed business used to obtain feedback. It normally explains the offering, intended customers, benefits, distinctive features and the people proposing to deliver it. Include a proposed price and important terms when these are necessary for meaningful feedback.

An original concept statement could read: “Campus Laundry Collect proposes to collect standard laundry orders from students in selected accommodation areas near UB. Customers would book through WhatsApp and receive their laundry within 48 hours. The proposed price is P60 per defined standard order. A partner laundry would provide washing, while the venture would arrange collection and return.” The statement should explain what a standard order includes so respondents evaluate the same service.

A concept test presents the statement, a simple demonstration or a prototype to intended customers and asks for feedback. Useful questions explore what is appealing, what is unclear, what concerns the respondent, how the service compares with current alternatives and what would need to improve.

A prototype is an early representation used to learn about the offering. For a physical product, it may be a sample. For a service, it may be a trial booking process or a manually delivered service. A prototype should help investigate an uncertainty rather than simply make the proposal look attractive.

Product or service demand

Demand concerns how many customers are likely to buy, at what price, how frequently and through which channel. Customers may like an idea while continuing to use an existing alternative. The venture needs a credible path from initial interest to purchases and repeat use.

Investigate willingness to pay alongside ability to pay. A customer can value a service but lack the money to use it regularly. In business markets, the person using the offering may differ from the person authorising or paying for it. For example, hotel kitchen staff may value a food product while procurement approves the purchase.

Demand also depends on the offer’s terms. A low introductory price may attract trial orders that disappear when the normal price is introduced. A forecast should therefore specify the price, customer segment, expected purchase frequency and assumptions about repeat purchases.

Methods for investigating desirability and demand

Method	What it can reveal	Main limitation
Customer interviews	Problems, current behaviour, preferences and reasons for switching	A small or biased sample may miss other customer needs

Method	What it can reveal	Main limitation
Concept test or prototype	Reactions to the proposed benefits, design and process	Positive feedback may not lead to purchases
Buying intentions survey	Stated likelihood of buying at a defined price	Respondents may overstate future behaviour
Observation and field research	How customers currently solve the problem	The reason behind behaviour may still need investigation
Paid pilot	Actual purchases, delivery experience and repeat use	A limited trial may not represent demand at larger scale
Secondary research	Population, spending patterns, sector trends and existing alternatives	Published information may not match the intended segment

Barringer's discussion includes direct customer contact, online tools and library, internet and field investigation. "Gumshoe research" means practical investigation by observing, asking questions and visiting relevant places. For example, a founder can visit competing outlets, compare their offers and speak with prospective customers. [3]

Asking useful customer questions

Begin with recent behaviour. Ask, "How did you handle your laundry last week?", "What did that cost?" and "What was inconvenient?" These questions help establish the existing problem. Later, show the concept and ask how the respondent evaluates it at the proposed price.

Avoid leading questions such as "Would you support this excellent student business?" A respondent may agree to be polite or supportive. Also avoid treating friends' encouragement as representative market evidence. Recruit people who fit the intended customer profile and record the sample and method used.

Online surveys, search interest and social media engagement can help locate interest and shape further research. Their meaning depends on who responded and what behaviour was measured. A page view, a like, a request for information and a paid order are different observations.

Current experimentation guidance encourages entrepreneurs to identify important assumptions, choose tests and learn from the results. Evidence of actual purchase and continued use is generally more directly relevant to paying demand than a statement that an idea sounds attractive. However, a paid trial still requires careful interpretation of sample, price and operating conditions. [5, 6]

Interpreting a small survey

Suppose 20 acquaintances respond to a survey. Twelve like the idea and eight would consider paying P60. These responses indicate some initial appeal and stated purchase intention. They do not establish eight regular customers, and they do not justify applying a 40% purchase rate to all UB students.

The sample is small and may be unrepresentative. “Would consider paying” does not specify when or how often the respondent will buy. A useful next step is to test a clearly defined offer with intended customers and record actual orders, cancellations, repeat purchases and feedback.

Making a product or service feasibility judgement

A good judgement explains which customer benefit is supported, what evidence exists about purchases and what remains uncertain. For example: “The service shows initial appeal because respondents value collection, but regular demand at P60 is untested. A paid pilot is needed before assuming that monthly sales will cover costs.” This is stronger than saying that the idea is feasible because many people like it.

3. Industry and target market feasibility analysis

Meaning and purpose

Industry and target market feasibility assesses the environment in which the venture would compete and the specific customers it intends to serve. Its purpose is to determine whether the sector offers a reasonable opportunity and whether the selected segment is accessible and economically worthwhile. The two primary issues are **industry attractiveness** and **target market attractiveness**. [2, 3]

An industry consists of businesses offering similar or related goods and services. Laundry businesses form part of a wider laundry and cleaning services sector. A target market is the particular group the venture chooses to serve, such as students living in selected accommodation areas near UB who need paid collection and return.

Industry attractiveness

An attractive industry offers conditions in which a well-designed venture has a reasonable opportunity to compete and earn acceptable returns. Assess demand trends, the strength of competitors and substitutes, suppliers, entry conditions and likely changes. The presence of many customers is useful only if the business can serve them at sustainable costs and prices.

Industry growth may create openings, but growth can also attract rivals. An emerging sector may offer unmet needs while carrying uncertainty about technology, customer behaviour or rules. A mature industry can still contain opportunities for a venture that serves a neglected segment or improves reliability. Industry age alone does not determine feasibility.

Industry structure matters. A fragmented sector contains many smaller firms, which may leave room for a local venture. A concentrated sector is dominated by fewer large firms, potentially making access to customers, suppliers or distribution more difficult. Examine the specific conditions instead of assuming that either structure guarantees success.

Competition affects pricing and margins. If customers can easily compare similar offers and switch, the new venture may face pressure to reduce prices. Entry barriers can protect established firms while making entry difficult for newcomers. Low barriers may make launch easier but also allow competitors to copy an attractive idea quickly.

Substitutes satisfy the same underlying need in a different way. For a laundry collection service, substitutes include washing at home, using a washing machine in accommodation or arranging washing through another person. A venture must understand why customers would choose its offer over these alternatives.

A supporting tool for assessing competition

The five competitive forces provide a useful extension for thinking about industry conditions: rivalry among existing firms, the threat of new entrants, the threat of substitutes, supplier bargaining power and buyer bargaining power. Barringer develops industry and competitor analysis more fully in a later chapter. At this stage, use the questions to identify issues needing research rather than attempt a lengthy strategy analysis. [1, 2]

For the laundry service, a single partner with limited capacity may have considerable bargaining power. Customers with several convenient alternatives may also have bargaining power. These conditions could affect service reliability and the price the venture can charge.

Target market attractiveness

A target market is attractive when enough suitable customers can be reached and served, have a relevant need and can pay a sustainable price. Define the segment using characteristics that affect purchasing and delivery, such as location, income or budget, behaviour, organisational type or the situation in which the problem occurs.

“Everyone who needs laundry” is too broad for planning an initial venture. A more useful definition identifies a manageable collection area, the kind of customer, the expected need and the offer. A focused niche can simplify communication and delivery, although larger competitors may still respond.

Investigate segment size, likely buying frequency, affordability, access and willingness to switch. Consider whether demand is seasonal. A student service may face different activity during term and vacation periods, so one busy week should not be treated as evidence of year-round demand.

Distinguish total market size from the venture’s attainable sales. A sector may contain many potential customers, but a small business has limited awareness, operating capacity and geographic reach. Forecast the customers it can realistically acquire and retain.

An original market estimate

Assume a founder identifies 300 potentially suitable students in a defined collection area. If 10% purchase and each purchasing customer places two orders a month, the forecast is 300 × 10% × 2 = 60 monthly orders. The 10% purchase rate and frequency are assumptions requiring evidence; the calculation does not validate them.

If the venture needs 100 monthly orders to cover its stated operating costs, a 60-order forecast would raise a financial concern. Increasing the assumed purchase rate merely to reach break-even is poor analysis. The founder should investigate the segment, test acquisition and repeat use, or revise the operating model.

Researching the industry and segment

Compare competitors' prices, opening times, service terms, locations and customer experience. Use dated observations and distinguish direct rivals from substitutes. Speak with customers and suppliers, and examine reliable published information about population, household spending and business activity when it matches the research question.

The SBA's current guidance highlights demand, market size, location, saturation, pricing and competitive analysis. These questions transfer to a Botswana investigation, while local data are needed to answer them. Statistics Botswana is an official national statistics source; check each publication's date, coverage and definitions before using it. [4, 7]

Making an industry and market feasibility judgement

Assess the sector and segment separately. For example: "Existing laundry businesses indicate established alternatives, but their prices and collection services are unknown. Students in the proposed collection area may be reachable, yet sufficient demand at P60 remains unverified." This identifies the investigation still needed instead of assuming that competitor presence or student population proves attractiveness.

4. Organizational feasibility analysis

Meaning and purpose

Organizational feasibility assesses whether the founder or team can organise and deliver the proposed business. It examines management ability and access to essential nonfinancial resources. Its purpose is to identify whether the venture can launch and operate reliably, and what gaps must be addressed. The two primary issues are **management prowess** and **resource sufficiency**. [2, 3]

Management prowess

Management prowess means the practical ability of the founder or team to launch and manage the venture. Passion and commitment matter because developing a business requires persistence, but they should be accompanied by understanding of the intended market and the ability to make sound decisions.

Assess relevant experience, customer knowledge, technical competence, financial understanding, communication and the ability to coordinate work. A founder may be skilled at producing a good product while lacking experience in pricing, purchasing or managing customer complaints. The analysis should recognise both strengths and gaps.

For the laundry service, customer service experience may help Lebo respond to bookings and problems. The founder also needs to schedule collections, manage the partner relationship, keep records, monitor costs and handle lost or damaged garments. Promising a 48-hour turnaround creates responsibilities across the entire process.

A team can combine complementary skills. Where a founder lacks a capability, possible responses include recruiting a suitable person, obtaining training, using an adviser or contracting

for specialist support. The analysis should indicate who will perform essential work and whether they are available when needed.

Time is part of capability. A student entrepreneur should consider classes, examinations and other commitments. An operating plan that depends on the founder being available every afternoon is unreliable if that person has scheduled classes during collection times.

Resource sufficiency

Resource sufficiency asks whether the venture can access the nonfinancial resources required to deliver its offer. These can include premises, equipment access, skilled staff, suppliers, service partners, transport, distribution channels, operating systems and relevant knowledge. Access can come through ownership, rental, partnership or contracting.

List the resources that are essential to the proposed version of the business and check their availability, suitability and dependability. An unconfirmed verbal promise provides less assurance than a documented arrangement with clear capacity and service terms. Also consider the consequences if a resource becomes unavailable.

Resource for the laundry service	Evidence to obtain	Effect of a gap
Laundry partner	Confirmed capacity, quality expectations and turnaround terms	Orders may be late or inconsistent
Collection and return transport	Available vehicle or dependable transport arrangement	Collection costs or delays may undermine the promise
Garment tracking	A tested recording and identification process	Orders may be mixed up, lost or returned incorrectly
Customer communication	Working booking process and responsibility for responses	Missed bookings and unresolved complaints
Founder and team time	A realistic weekly schedule and assigned roles	Service may stop when the founder is unavailable

Nonfinancial resources often have financial consequences. Access to transport belongs in organizational analysis; its cost belongs in the financial estimates. The same issue can therefore affect more than one area of feasibility.

Capacity and dependence

Capacity is the volume the business can handle while maintaining its promised standard. If a partner can reliably handle only 70 orders a month, a plan requiring 100 orders needs further investigation. Capacity estimates should reflect peak periods, collection schedules and the time needed to correct problems.

A venture may depend heavily on one person or supplier. Consider possible backup arrangements and whether the partner's interests fit the venture's needs. Outsourcing reduces the need to own equipment, but the entrepreneur still needs to coordinate quality, costs and customer promises.

For ventures involving permissions, food safety, customer information or specialised activity, establish which current requirements apply before promising delivery. This is a research task within feasibility, not a reason to assume that every venture faces the same obligations.

Making an organizational feasibility judgement

A useful conclusion states what is available, what is missing and how the gap affects launch. For example: “Lebo has relevant customer service experience and a smartphone, but transport and partner capacity are not confirmed. The venture should verify these resources and test the tracking process before accepting a larger volume of orders.”

5. Financial feasibility analysis

Meaning and importance

Financial feasibility is a preliminary assessment of whether the proposed venture can meet its cash requirements and generate acceptable financial results. It helps identify how much money is needed, how revenues and costs may behave, and whether the expected return justifies the commitment and risk.

The three central Barringer issues are **total start-up cash needed**, **financial performance of similar businesses**, and **overall financial attractiveness**. The calculations in this section are practical tools for investigating those issues; they do not replace customer or operational evidence. [2, 3]

Total start-up cash needed

Start-up cash covers the expenditure needed to prepare the business to make its first sale. Depending on the venture, this can include equipment, initial inventory, deposits, setup work and expenses incurred before revenue begins. Obtain evidence such as quotations and relevant published charges instead of relying on guesses.

Also estimate the cash needed after opening. Suppliers, staff and rent may need payment before sufficient customer receipts arrive. This opening operating buffer supports day-to-day activity. In accounting, net working capital is current assets less current liabilities; the operating buffer is a cash planning estimate rather than that balance sheet measure. Assess the timing of receipts and payments to estimate an appropriate amount.

Prepare a cash requirements schedule and identify the funding source for each requirement. Distinguish funds already available from loans, grants or investor contributions that have only been proposed. An attractive opportunity is not ready to launch if essential funding remains uncertain.

A fictional cash requirements schedule

Requirement	Amount
Setup costs before the first sale	P3,000
Proposed opening operating buffer	P2,000
Total initial cash requirement	P5,000
Lebo's available savings	P5,000
Difference under these assumptions	P0

The figures suggest that savings match the estimated requirement, but they do not prove that the funding is sufficient. The buffer must be tested against payment timing and lower sales. Missing costs, a higher partner price or a longer period before receipts could create a shortfall.

Avoid double counting. If initial stock is already included in setup costs, do not add the same stock again in the opening cash requirement. Explain whether a reserve is an extra allowance or already included in the operating buffer.

Financial performance of similar businesses

Comparable businesses provide a reference point for judging whether the proposed estimates are realistic. Research their prices, typical sales patterns, cost categories, margins, seasonality and payment terms where credible information is available. Possible evidence includes public reports, industry information, supplier discussions and voluntary conversations with business owners.

Choose genuinely comparable businesses. A laundry that owns washing equipment has a different cost structure from a collection service that contracts out washing. A long-established outlet may have a customer base and operating efficiency that a new venture will take time to develop.

Interpret comparisons carefully. An advertised price reveals the offer, not the business's profit. Public financial statements may cover several locations or services and may not reveal the economics of one branch. Record the source, period and differences that limit comparison.

Use benchmarks to challenge assumptions. If a proposed venture forecasts a much higher margin than comparable firms, explain the source of the advantage or revise the forecast. Copying a competitor's sales estimate without considering the new venture's capacity and reach produces weak analysis.

Overall financial attractiveness

Overall attractiveness concerns the combination of profit potential, cash flow, growth, risk and returns. Consider whether the business can cover its costs, whether sales can be forecast credibly, whether customers may purchase repeatedly, and whether cash generated can support operations and development.

The acceptable return depends on the entrepreneur's objectives and alternatives. A small owner-managed venture may seek sustainable income and manageable risk. An outside equity investor may also need a realistic way to realise a return, such as dividends or an eventual sale of their interest. An exit route is particularly relevant to such investors; it is not a requirement that every small business plan for a stock exchange listing.

Growth should be assessed alongside its cost. More orders may require additional transport, staff or equipment. A business can increase revenue while placing greater pressure on its cash balance. Financial attractiveness therefore requires attention to both operating results and funding needs.

Revenue and cost behaviour

Revenue is the value of sales. For a venture with one standard service, revenue is the number of orders multiplied by the selling price per order. Define the unit clearly before calculating; an order, kilogram or garment would produce different estimates.

A variable cost changes with activity, such as a washing charge incurred for each order. A fixed cost remains unchanged within the relevant activity range and period, such as an agreed monthly rental charge. Some costs contain both parts, and fixed costs may increase when the venture expands beyond existing capacity.

Contribution is selling price less variable cost per unit. Each sale contributes this amount towards fixed costs and, after those costs are covered, an operating surplus. Contribution is not the same as net profit.

The simplified laundry example assumes a selling price of P60, a variable cost of P40 per standard order and fixed monthly costs of P2,000. The P40 includes washing, collection and packaging, so those costs are not added a second time.

$$Contribution\ per\ order\ =\ P60\ -\ P40\ =\ P20$$

The contribution is P20 per order. Selling one additional order contributes P20 towards fixed costs under the stated assumptions.

Break even analysis

Break-even occurs where total revenue equals the costs included in the analysis. The operating result is zero. For one standard service with positive contribution, calculate operating break-even volume by dividing fixed costs by contribution per order.

$$Operating\ break\ even\ orders\ =\ \frac{P2{,}000}{P20}\ =\ 100$$

Lebo must sell 100 standard orders per month to cover the stated monthly operating costs. At P60 per order, this represents P6,000 in sales revenue. If the calculated number is not a whole unit, round up to the next saleable unit.

The formula assumes that price, variable cost per order and fixed costs remain applicable over the activity range considered. If contribution is zero or negative, this simple formula does not produce a meaningful positive break-even volume. The price or cost structure must change.

Monthly operating break-even does not mean that the initial P3,000 setup investment has been recovered. Recovery of that investment requires additional cash generated over time. The example also excludes tax, finance costs and owner remuneration unless they have been included in the stated cost assumptions.

Comparing sales scenarios

$$Operating\ result = (Orders \times P20) - P2{,}000$$

Orders per month	Revenue	Variable costs	Contribution	Operating result after P2,000 fixed costs
80	P4,800	P3,200	P1,600	P400 loss
100	P6,000	P4,000	P2,000	P0
120	P7,200	P4,800	P2,400	P400 surplus

The forecast of 80 orders would produce a P400 monthly operating loss. The service therefore needs a revised model or evidence of higher sustainable volume before its financial case is convincing. It would be inappropriate to assume 120 orders solely because that scenario produces a surplus.

Profit and cash flow

Profit measures revenue less expenses for the relevant accounting period. Cash flow records when money is actually received and paid. Credit sales can create revenue before cash arrives, while equipment purchases, loan principal repayments and owner withdrawals affect cash differently from expenses.

Consider a separate fictional month with 120 completed orders. Sales revenue is P7,200 and the simplified operating surplus is P400. If only P3,600 is collected that month, while variable and fixed operating payments total P6,800, the operating cash movement is negative P3,200. The remaining P3,600 is still owed by customers. A positive operating result would therefore coexist with a serious cash requirement.

Prepare a cash forecast showing the opening balance, cash receipts, cash payments and closing balance for each period. Include start-up spending, repayment timing and other relevant cash movements. Do not treat sales revenue as cash receipts unless the payment arrangements support that assumption.

Sensitivity analysis

Sensitivity analysis examines how results change when an assumption changes. It helps identify which uncertain figures have the greatest effect on feasibility.

Scenario	Contribution per order	Monthly break even volume
Base case with P60 price and P40 variable cost	P20	100 orders
Price falls to P55 and variable cost stays P40	P15	134 orders rounded up
Variable cost rises to P45 and price stays P60	P15	134 orders rounded up
Fixed costs rise to P2,500 and contribution stays P20	P20	125 orders

The lower price increases the number of orders required to cover costs, even though it might improve demand. Whether the trade-off helps depends on actual customer behaviour and delivery capacity. Evaluate linked effects rather than assuming that a discount automatically improves feasibility.

Making a financial feasibility judgement

A sound conclusion combines cash requirements, credible benchmarks, operating results and risk. It states the assumptions that matter and any missing evidence. For Lebo, the untested 80-order forecast is below operating break-even, while the opening buffer and cost estimates need validation. Matching savings to an estimated P5,000 requirement does not resolve these concerns.

6 Feasibility analysis templates

What a template does

A feasibility template is a structured set of questions or fields that helps an entrepreneur examine an idea consistently. It encourages coverage of important issues, records evidence and makes it easier to identify gaps. It is useful for comparing ideas and explaining the basis of a recommendation.

Barringer's **First Screen** provides an initial assessment of a business idea. The screening topics cover the strength of the idea, industry issues, target market and customer issues, founder issues, and financial issues. These screening topics feed into the broader four-area feasibility investigation. Use the template in the prescribed edition for its exact questions and scoring instructions. [2, 8]

First Screen is an early screening tool. A full feasibility investigation may require much more detailed customer research, operational testing and financial work. Completing the boxes is useful only when the responses are supported by evidence.

When entrepreneurs should use a template

Use a template when first assessing an idea, when choosing among several opportunities and before committing substantial resources. Revisit it when the offering, target customers, supplier

terms or cost structure change. It can also help a student group identify the research needed for a business project.

The level of detail should match the commitment. An initial discussion may require a short screen and a plan for further research. Purchasing expensive equipment or seeking significant finance calls for stronger evidence and more developed estimates.

An original classroom adaptation

The following fields form an original teaching template. They do not reproduce First Screen's questions or scoring system.

Field	What to record
Business concept	Offering, target customers, location, price and delivery method
Feasibility area and issue	The particular question being investigated
Finding	What the evidence currently suggests
Supporting evidence	Source, date, method and relevant result
Assumption or missing evidence	What has not yet been established
Assessment	Promising, concern or insufficient evidence
Next action	Research, test or resource arrangement needed
Overall recommendation	Proceed to further development, revise and retest, or discontinue, with reasons

Repeat the analysis fields for each important issue in all four areas. Separate unknowns from unfavourable findings. "Insufficient evidence" means the question remains unanswered; it is not proof that the business will fail.

A completed demand entry

Field	Laundry service example
Issue	Demand at P60 per standard order
Finding	Some stated interest exists, but paid demand remains untested
Evidence	Fictional survey of 20 acquaintances with 8 saying they would consider paying
Limitation	Small convenience sample and no completed orders
Assessment	Insufficient evidence
Next action	Run a limited paid trial with intended customers and record repeat use

Set decision criteria before testing where possible. For example, define what would count as acceptable delivery reliability and what evidence would support the sales and cost assumptions. An entrepreneur should avoid changing criteria simply to declare the idea successful.

Interpreting the completed template

A promising assessment should justify the next stage, which may be more validation or business planning. A concern may require changing price, segment, scale, partners or the delivery method. A serious unresolved condition can justify discontinuing the concept in its present form.

Do not rely only on an average rating. Good customer feedback cannot compensate for an unavailable essential resource. Similarly, a low estimated setup cost cannot compensate for continuing operating losses. Explain the most important conditions and uncertainties in the recommendation.

7 Integrated case application

Campus Laundry Collect

Lebo proposes a WhatsApp laundry collection and return service for students in selected areas near UB. The proposed turnaround is 48 hours and the price is P60 per standard order. An informal survey of 20 acquaintances produces 12 positive reactions and 8 statements that respondents would consider paying. There are no completed paid orders.

Two laundries operate nearby, but Lebo has not compared their prices or collection services. A potential partner has provided a preliminary quotation used in the P40 variable cost estimate. Capacity and service terms have not been confirmed. Lebo has a smartphone and customer service experience, but reliable transport and garment tracking are missing.

Lebo forecasts 80 monthly orders, without supporting sales evidence. Fixed monthly costs are estimated at P2,000. Setup costs are P3,000, the proposed operating buffer is P2,000 and available savings are P5,000. All these case facts are fictional.

Assessing the four areas

Area	Interpretation of the evidence	Appropriate next step
Product or service	Initial appeal and stated interest exist; regular paid demand is unverified	Test a defined offer at the intended price with target customers
Industry and market	Rivals and alternatives exist; segment appeal and achievable sales remain uncertain	Compare alternatives and investigate a manageable collection area
Organizational	Some customer service capability exists; essential delivery resources are unconfirmed	Verify partner capacity, transport and garment tracking
Financial	Contribution is P20 and break even is 100 orders; 80 orders produces a P400 loss	Validate costs, cash timing and realistic sales scenarios

A reasoned recommendation

The appropriate preliminary recommendation is to **revise and retest**. The case does not yet provide enough evidence of regular paying demand, essential delivery arrangements remain unresolved, and the sales forecast is below operating break-even. These concerns are material because they affect both customer promises and the business's ability to cover costs.

Lebo could investigate a smaller collection area, negotiate clear partner terms and test a limited service using reliable transport and a simple tracking system. The pilot should record demand at the stated price, repeat use, delivery performance and actual costs. The revised evidence would then support a fresh feasibility assessment.

8 Applying current research and testing methods

Turn assumptions into testable questions

Write assumptions precisely enough to investigate. "Students need the service" is broad. "Students in the selected area will place repeat orders at P60 under the stated collection terms" gives the entrepreneur a clearer research question. A hypothesis is a proposition to test; it should be capable of being contradicted by evidence.

Select the test to match the uncertainty. Interviews can investigate a problem and its causes. A booking prototype can reveal usability problems. A paid pilot can examine purchase behaviour and delivery costs. A partner trial can investigate operating capacity. Several tests may be necessary because one method rarely resolves every question.

Evidence from recent entrepreneurship research

Camuffo and colleagues' 2024 study examined a scientific approach to entrepreneurial decisions across four randomized controlled trials involving 759 firms. The approach encouraged

entrepreneurs to formulate and test explanations for their business ideas. The study found an increase in idea termination and a more selective pattern of major strategic changes. These findings support a teaching implication: learning that an idea should be stopped or changed can be a useful outcome of investigation. They do not establish a guaranteed profit benefit for a particular Botswana venture. [9]

Record evidence responsibly

Record who participated, when the research took place, how participants were selected, what was asked and what was observed. Obtain agreement to participate and collect only information needed for the investigation. Use accurate records and avoid inventing responses or quotations.

Report limitations plainly. Five interviews can provide useful exploratory insights, but they do not establish a population purchase rate. A pilot involving close friends may not predict demand among unfamiliar customers. A favourable result at a subsidised price may not hold at the intended commercial price.

Using digital tools and AI

Digital tools can organise surveys, compare scenarios and record research. AI can help generate questions or draft a research plan, but the student must check whether the questions are neutral and relevant. Generated customer responses, invented market statistics and fabricated supplier quotations are not evidence.

When using an online figure, open the underlying source and check its date, geography, definitions and method. A national population total does not show the number of customers a small venture can reach. A social media trend does not establish profitability. Students should be able to explain how each source supports the particular feasibility claim.

9 Common mistakes to avoid

- Treating enthusiasm, compliments or social media likes as proof of paid demand.
- Defining the target market so broadly that the research and delivery plan become unrealistic.
- Ignoring substitutes because they offer a different form of solution.
- Assuming that a growing industry guarantees success for a particular venture.
- Treating access to resources as confirmed when it depends on an untested promise.
- Forecasting sales without evidence about customer acquisition and repeat use.
- Adding operating costs twice or omitting costs that materially affect the result.
- Confusing contribution with profit, profit with cash, or operating break-even with recovery of start-up investment.
- Treating all unknowns as either favourable findings or reasons for automatic rejection.
- Completing a template without explaining sources, assumptions and the decision that follows.

10 Key terms for revision

Term	Meaning

Term	Meaning
Feasibility analysis	Early investigation of whether and under what conditions an idea can work
Desirability	Appeal and usefulness of an offering to intended customers
Demand	Willingness and ability to purchase under specified conditions
Concept test	Gathering feedback on an early description or representation of an offering
Target market	The particular customers the venture intends to serve
Niche	A focused segment with a particular need or set of characteristics
Substitute	A different way of satisfying the same underlying need
Management prowess	The founder or team's practical ability to launch and manage the venture
Resource sufficiency	Access to the essential resources needed to deliver the business
Working capital	Net working capital is current assets less current liabilities. Operating cash is needed to support daily activity.
Contribution	Selling price less variable cost per unit
Break even	Sales level where revenue equals the costs included in the analysis
Sensitivity analysis	Examining how results change when an assumption changes
First Screen	Barringer's template for an initial assessment of a business idea

11 Review and application questions

Questions

1. Define feasibility analysis and explain four reasons for conducting it before major investment.

2. Explain the difference between product or service desirability and demand. Give one suitable research method for each.

3. Why does a buying intentions survey provide limited evidence of future sales?

4. Distinguish an industry from a target market, using a Botswana business example.

5. Explain how competition, substitutes and supplier dependence can affect industry attractiveness.

6. Identify the two primary organizational feasibility issues and explain how they differ.

7. Explain why a founder can have strong management skills but still fail a resource sufficiency assessment.

8. State and explain the three central financial feasibility issues.

9. Using the laundry case, calculate contribution per order, monthly operating break-even volume and the operating result at 80 orders.

10. Suppose the variable cost rises to P45 while price remains P60 and fixed monthly costs remain P2,000. Calculate the new break-even volume and interpret the result.

11. Explain how a venture can report an operating surplus while experiencing a cash shortage.

12. Describe when a feasibility template should be used and why a favourable overall rating may still be insufficient to proceed.

13. Recommend a next step for Campus Laundry Collect, supporting your recommendation with evidence from all four areas.

14. Apply the original template to your own idea. Identify the three most important uncertainties and propose research to investigate them.

Suggested answer guidance

For Question 1, explain preliminary investigation and a decision about pursuing an idea. Discuss assumption testing, resource gaps, avoiding premature expenditure and improving later planning. Include an example rather than merely listing reasons.

For Questions 2 and 3, desirability concerns perceived value while demand concerns purchases at a stated price and frequency. A concept test can examine appeal. A paid trial can investigate purchases. Survey intentions remain uncertain because respondents may be polite, unable to pay, unrepresentative or unwilling to act later.

For Questions 4 and 5, separate the wider sector from the chosen customer segment. Use a clearly defined example. Explain how rivalry and substitutes can limit prices and how a powerful supplier can raise costs or constrain capacity.

For Questions 6 and 7, management prowess concerns the people's ability; resource sufficiency concerns access to the resources required. A capable founder may still lack suitable premises, dependable transport or a service partner with adequate capacity.

For Question 8, discuss cash required before and after opening, the usefulness and limitations of comparable businesses, and expected profit, cash flow, growth, risk and return. Avoid interpreting financial attractiveness as revenue growth alone.

For Question 9, contribution is P60 minus P40, which is P20. Operating break-even is P2,000 divided by P20, which is 100 orders. At 80 orders, contribution is P1,600; subtracting P2,000 fixed costs gives a P400 loss.

For Question 10, contribution falls to P15. P2,000 divided by P15 is 133.33 orders, requiring 134 whole orders. The venture needs a greater sales volume to cover the same fixed costs and must assess whether demand and capacity support it.

For Question 11, explain the timing of receipts and payments. Credit sales can be recorded before payment arrives, while suppliers and other costs must be paid. Refer to the 120-order cash example if useful.

For Questions 12 and 13, explain early screening, comparison and reassessment. An essential unresolved condition can override an otherwise positive picture. The case supports revising and retesting because paid demand is unknown, industry and segment research is incomplete, delivery resources are uncertain and forecast sales fall below break-even.

For Question 14, use actual research where available, label assumptions and do not invent results. A strong answer explains why each uncertainty matters and how the proposed method would supply relevant evidence.

12 References and further reading

Online sources checked on 10 October 2026. Edition-specific page numbers have not been assigned to these notes.

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[7] Statistics Botswana. (n.d.). *Official statistics portal*. A starting point for locating local secondary data.

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[8] Barringer, B. R. *Preparing Effective Business Plans: An Entrepreneurial Approach* (2nd ed.). Pearson. Publisher overview of First Screen and feasibility investigation.

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[9] Camuffo, A., Gambardella, A., Messinese, D., Novelli, E., Paolucci, E., and Spina, C. (2024). A scientific approach to entrepreneurial decision-making: Large-scale replication and extension. *Strategic Management Journal, 45*(6), 1209–1237. Open access research article.

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